

Multiple Choice

1. **Answer:** B

Options: A) August 15; B) May 15; C) April 15; D) March 15; E) May 14

Note: The correct answer is May 15 because a note with a term of two months, when signed on March 15, matures exactly two months later, which falls on May 15.

2. **Answer:** D

Options: A) Positioning utility.; B) Ownership utility.; C) Space utility.; D) Time utility.; E) Information utility.

Note: Time utility refers to the value added to a product by making it available at the right time for consumers, allowing for manufacturing, purchasing, and consumption to occur at different points in time to better meet customer needs.

3. **Answer:** A

Options: A) \$76.80; B) \$70.40; C) \$52.80; D) \$50; E) \$90

Note: The correct answer is 76.80 because the first discount of 30

3. **Answer:** A

Options: A) \$4,500; B) \$3,500; C) \$2,000; D) \$750; E) \$1,500

Note: The correct answer of \$4,500 is based on the predetermined rate for half-page advertisements from the schedule of rates, which, when multiplied by the quantity of 6, yields the total cost.

4. **Answer:** E

Options: A) 12%; B) 2%; C) 7%; D) 9%; E) 6%

Note: The selling cost percentage is calculated by dividing Jim Dagney's average weekly earnings of 120 by his average weekly sales of 2,000, yielding a result of 0.06 or 6%.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: Medium-contact service is characterized by a moderate level of personal interaction, where the service provider and customer engage in some direct communication, but not to the extent found in high-contact services, thereby limiting personal interaction.

7. **Answer:** True

Options: A) True; B) False

Note: Broadcast media's extensive reach allows it to engage large audiences simultaneously, while its audio-visual format enhances message retention and emotional connection, making it effective for conveying messages.

8. **Answer:** False

Options: A) True; B) False

Note: The statement is false because the cumulative cost of three consecutive one-year policies typically includes additional fees or rate increases that would exceed the cost of a single 3-year policy, making the cost difference greater than \$173.88.

9. **Answer:** True

Options: A) True; B) False

Note: The statement is true because the total payment of \$57.99, which includes tax, reflects the agreed-upon price adjusted for the one-week payment delay as stipulated in the contract terms.

10. **Answer:** False

Options: A) True; B) False

Note: Bureaucratic organizational structures are characterized by hierarchical decision-making, strict rules, and formal procedures, which often limit democratic participation and inclusivity in management styles.

Long Form Response

11. **Answer:** To establish the Argo Scholarship Fund, the initial amount required is calculated to be 12,462. *This figure is derived from the present value of an annuity formula, which accounts for scholarships awarded annually for twenty years, discounted at a 5% interest rate. By applying the formula for the present value of an annuity, we find that the total present value of the scholarship payments is \$12,462, ensuring that the fund can sustain the annual distributions over the specified period. This methodology underscores the importance of understanding time value of money concepts in financial planning for educational endowments.*

Note: correct because it accurately applies the present value of an annuity formula to determine the initial investment needed to fund twenty annual 1,000 scholarships at a 5

11. **Answer:** Wood (1991) identifies three key outcomes of corporate social responsibility (CSR): social policies, social responsibility, and social impacts. Social policies refer to the frameworks and guidelines businesses establish to govern their ethical practices, influencing decision-making and operations. Social responsibility emphasizes the obligations companies have towards their stakeholders, including employees, customers, and the community, fostering trust and loyalty. Lastly, social impacts assess the tangible effects of corporate actions on society and the environment, highlighting the importance of sustainable practices. Together, these outcomes guide businesses in aligning their strategies with societal expectations, ultimately enhancing stakeholder relationships and promoting long-term success.

Note: The answer accurately reflects Wood's (1991) categorization of CSR outcomes by detailing how social policies shape ethical practices, the significance of social responsibility in building stakeholder relationships, and the evaluation of social impacts on communities and the environment, thereby illustrating the interconnectedness of these concepts in influencing business practices.

End of Answer Key